Public Policy 2025-2026 Final Exam

November 28, 2025, 10:00-13:00
With "best-practice" student answers

The maximum score of the exam is 200 points. To pass Public Policy, you must achieve a minimum score of 100 points. The exam consists of three parts:

I. One case-based question (with four sub-questions, of which you must answer only three). Each sub-question must be answered as a short essay of approximately 250-300 words. Do not use bullet points or other non-essay formats. The maximum score is 90 points (30 points per each sub-question). Be concise, clear, and demonstrate solid analytical thinking using the information offered in the case! Appropriate examples and your ability to make valid and meaningful connections across course topics will yield originality points.

II. Six short questions (of which you must answer only five) to be answered in full sentences. Each response should comprise approximately 150 words. The maximum score is 80 points (16 points per question). Be as concise and clear as possible!

III. Ten multiple-choice questions. The maximum score is 30 points (3 points per question).

Exam Rules:

- The duration of the exam is 3 hours. You may submit your responses whenever you are done.
- The exam is "open-book," which means that you may use all course-related material, including the material on e-learning. Respondus will grant you access to e-learning and to the readings.
- No electronic devices other than the computer on which you are writing the exam are allowed.
- The exam is *not* teamwork. During the exam, any communication with third parties, whether electronically or face-to-face, is strictly prohibited.
- In Parts I and II of the exam, if you cite passages e.g. from the readings or the course slides, you must put the cited text into quotation marks ("xyz") and provide the name(s) of the author(s). There are no further format requirements. For instance, you don't need to write "(Fleurbaey & Blanchet, 2006, p. 20)" after citing Fleurbaey and Blanchet, and you don't need to put a reference list at the end of your responses. Unmarked copy-pastes from the readings or course slides will be treated as plagiarism.
- In Parts I and II of the exam, any answer in excess of what is required (the fourth question answered in Part I, the sixth question answered in Part II) is a waste of time and will not be taken into consideration for grading.

Wishing you Good Luck!!

Part I: Case-based questions (max. 90 points, 250-300 words per sub-question)

[With material from: "The EU promised to lead on regulating artificial intelligence. Now it's hitting pause." *POLITICO.EU*, November 19, 2025]

BRUSSELS — The EU is flipping its script on artificial intelligence amid a global race to win cash and influence.

The European Commission is expected to postpone the implementation of landmark AI restrictions by at least a year as part of sweeping changes to digital rules aimed at staying competitive with the U.S. and China.

For years EU policymakers focused on making regulations to ensure the technology can be trusted. Now, in a year that saw major advances in artificial intelligence and Donald Trump reenter office, the EU is letting go of its dream of being the global leader on regulating AI.

The Artificial Intelligence Act, which took years to negotiate, is not even fully in place yet. Throughout 2025 a growing chorus of national governments and executives from tech companies and industry lobby groups have called for a delay of a part of the law, putting the issue at the center of a wider fight in Brussels over how the EU should balance regulation and innovation.

The proposal [to delay implementation] will see industry voices win out, with the announcement made under the same Commission president [Ursula von der Leyen] that heralded the original law as a "historic moment" to make people safer.

While the EU executive will present the proposal as a technical adjustment that will ultimately make the EU's regulation more effective — on the basis that changes will help industry to comply — it follows an intense lobbying effort by the Trump administration in Washington and from corporate lobbies in Brussels against the bloc's digital rules.

"A part of the message that Europe is giving to the rest of the world is that it is open to pressure from tech companies and other nations," said Natali Helberger, a professor of law and digital technology at the University of Amsterdam. "I would say this harms the credibility."

Under the plans expected, a series of AI practices that are classified as high risk — for example using artificial intelligence in recruitment, to assess people's suitability to get loans or to score exams — won't face obligations for at least a year longer than planned.

A big part of the justification for the decision has been concerns that the regulations will prevent Europe from being competitive at a time when it needs to level up. Tech lobbies have slammed the foreseen timeline as "unworkable."

"If we only could take the foot off the brake and give innovation a bit more chance, I think that's all we need," Germany's Digital Minister Karsten Wildberger said Tuesday when asked about the Commission's upcoming proposal.

The plans are prompting pushback from civil society.

“The Commission seems intent on destroying fundamental rights safeguards and setting us up for months, if not years of infighting and legal uncertainty without any tangible gains for EU competitiveness," said Daniel Leufer, senior policy analyst at AccessNow [= a California-based think tank focusing on digital civil rights].

Other changes expected would exempt more companies from certain rules altogether, and would also give industry a grace period on new rules for watermarking visual content made by AI.

The bloc’s AI rulebook was adopted in August 2024 but the rules were always intended to take effect gradually.

Some AI practices that carry an “unacceptable risk” such as predictive policing or social scoring have been forbidden since February [2025]. The most complex AI models, such as OpenAI's GPT, have also had to play by a separate set of rules since August [2025].

The rules that the EU executive is now pressing pause on — those that pose a risk to people's health, safety or fundamental rights — were slated to take effect in August next year [2026].

Countries and companies argued a delay was necessary due to a delay in the technical standards, designed to help companies comply with the requirements. Standardization bodies missed the deadline to deliver on them twice, and now the standards won't be ready until 2026.

The timeline to come up with standards was a “bit ambitious from the start,” a representative from the standardization bodies told POLITICO in September.

By branding it as a technical delay due to the lack of guidance, some in favor of a pause are choosing not to label it as a retreat, but instead to suggest a little more time is needed to get things right.

“Many companies would welcome this,” said Wildberger. “But equally important is that we use the time to get certain things right. It's not just: we postpone it. No, we have some work to do.”

Germany and France came out publicly in favor of a one-year pause [in November 2025]. Sweden, Poland, the Czech Republic and Denmark all called for a pause or a grace period before.

Countries had a stake in delaying the process. “It is also motivated by the fact that so far, a lot of member states haven't assigned and equipped their national regulatory authorities that must enforce the AI Act,” said Helberger.

Hitting pause "will give them more time to get their act together at the national level,” she said.

The proposal will need approval from EU countries and by the European Parliament before becoming final. There's a hard deadline of August 2026 when the rules were set to apply.

Within Parliament, even critics of the pause have privately conceded defeat and are now focused on keeping the delay as short as possible and avoiding further pushback.

"Unfortunately, a pause now seems inevitable given the delay in developing the standards," Irish lawmaker Michael McNamara said last week [= early November 2025] after POLITICO first reported that the rules would be delayed by at least a year.

McNamara warned that there should be "no further delays," because "if there were, it would undermine regulation and rule of law beyond just the AI Act."

(***Select and answer **three** out of the following questions. Inform your answers using relevant material from the lectures and from the required readings.***)

1. Using Kingdon's Multiple Streams Framework, analyze the process by which the proposal to delay the implementation of the AI Act reached the agenda. Also, identify and explain the framing strategy employed by both the expanders and the containers. (30p)

Student Answer

Kingdon's Multiple Streams Model argues that agenda-setting depends on the temporary coupling of three streams: the problem stream (recognition of a social issue), the policy stream (availability of feasible solutions), and the politics stream (public mood, interest-group pressure, and "doers" incentives). A policy window opens when these streams align, and effective actors must seize it as policy entrepreneurs.

The negative effects of EU's Artificial Intelligence Act on the competitiveness of EU tech firms was likely to reach the agenda: the risks were widespread: the current geopolitical situation in Europe, especially after 2022, has shown that Europe needs to be more independent the US, and currently in terms of innovation, we are lagging behind. In that sense, the expanders framed the biggest tech firms in Europe as victims of tighter regulations than competitors from other regions. To strengthen the problem stream, different governments and tech lobbyist in the advocacy coaltion managed to frame the issue as urgent, to not fall further behind in the AI race. Containers (groups that opposed the change and tried to block it from the agenda) mainly framed public safety and risks as the biggest issue that should be in the centre of focus.

But in parallel, the policy stream showed that a credible solution against damping innovation exist. Even if this credible solution was just a delay in implementation of the regulation (for now), it was feasbile to make it to the agenda. The politics stream was shaped by intense lobbying in national governments, and also at EU level.

Finally, when these 3 streams aligned, a policy window opened and multiple formal (E.g. German digital minister) and informal (Tech lobbyists) policy entrepreneurs coupled the streams to give the delay a "final push" to the agenda.

	Score
Effort, engagement with policy case, originality (10p)	10
Agenda-setting stage / 3 streams (5p)	5
Coupling / policy entrepreneurs (5p)	5
Framing strategy (5p)	4
Expanders / containers (5p)	5

Comments

This answer correctly identifies the purpose of the Kingdon's MSF and illustrates, using information from the article, why the three streams had been "activated." It correctly explains the conditions for agenda success through the "coupling" of the three streams, catalysed by policy entrepreneurs. Delaying implementation by one year (rather than delaying by some other interval or, say, re-negotiating the initial AI-Act) seems to be the winning solution from the policy "primeval soup," and the existence of geopolitical pressure is strong evidence that the politics stream is "on." The identification of the German Digital Minister as a policy entrepreneur is well-spotted and yielded originality points. The answer draws a clear distinction between the expanders and the containers (= the fundamental actor networks in any agenda-setting process) and gives some hints about the framing strategy employed by either. A modest point reduction here for not mentioning the actors who were framing the watering-down of the AI act as a danger (e.g. AccessNow, MacNamara). What is more, the part in the article saying: *"…some in favor of a pause are choosing not to label it as a retreat, but instead to suggest a little more time is needed to get things right"* gives away an important aspect of the framing strategy used by the expanders.

Too many students misread the question as asking about the agenda-setting process of the original AI Act. Whereas the point here is to explain why, in sharp contrast with the policy activism on display just a couple of years ago, EU elites have come to consider watering down crucial parts of the AI Act. In those cases, wherever justifiable, I awarded points where the theory of the MSF was laid out correctly.

2. Discuss to what extent the AI Act's implementation design has created opportunities for actors who wish to delay its execution. Propose how the implementation design could be improved to reduce these vulnerabilities. (30p)

Student Answer

The AI Act's implementation design had some crucial implementation vulnerabilities. First of all, the implementation managers' incentives were not completely aligned.

The EU Commision has the difficult task of balancing efficiency of the EU with the fairness and safety of the EU people. In terms of the AI Act, this was thrown a bit too much off balance: the AI act has a big disadvantage that stifles innovation and has a heavy burden of defining and enforcing compliance tresholds. While this may sufficiently make guarantee the safety of EU people from AI threats, it makes the EU less efficient. This means that some implementation managers might turn their back on the initial idea. I think this also shows, why "pushing the brakes" and reconsidering the strategy is the right thing to do for now.

Furthermore, finding effective fixers in the EU is difficult, because the industry here hasn't developed enough to bring in intermediaries from within. In contrast, US already has many industry giants working with the regulators to ensure compliance and steering regulation to the right, safe direction. This problem could be somewhat mitigated by working more closely with US firms, who already have that expertise. The EU Commission also failed in uncertainty hedging. The regulations were quite fast and sudden, meaning that firms and governments did not have enough time to adapt. The EU should have set more realistic timelines, and maybe even implement "salami-tactics" (a phased rollout of different regulations) to better anticipate feedback.

	Score
Effort, engagement with policy case, originality (10p)	10
Impl. stage / distinguishes managers & street-level (5p)	5
Impl. design components (5p)	2
Vulnerabilities in impl. design (5p)	5
Ways to improve impl. design (5p)	3

Comments

An ideal answer to this question should begin with a brief explanation of the role of implementation within the policy cycle model and identify the main implementation actors. Minimally, these include the *managers*, a role which, in this case, is split between the EU Commission and national-level ministries, and the *doers* at the "street level" – the article mentions national regulatory agencies and standardization bodies. Correct identification of fixers (e.g. senior industry insiders from EU or US) is a plus and yields originality points.

This is a question about implementation *design*. So it is essential that the response focuses on some components (2-3 are enough) of a successful implementation design. We discussed one common check-list in Lecture 13 as well as in the Seminar right afterwards. Low attendance in the latter likely explains why most students have failed to capitalize on this, to be fair, low-hanging fruit. The answer above reveals decent knowledge of the implementation stage generally speaking, but falls short of explaining implementation design. As the answer (correctly) identifies uncommitted implementation managers, the absence of fixers, and murky uncertainty hedging as vulnerabilities, the easiest way would have been to explain what these components are exactly and why they exactly matter for implementation. In presence of such vulnerabilities, opponents of the AI Act have will find it easier to

realise their pre-emption strategies (hence one is allowed to speculate whether some stakeholders perhaps weren't exactly sad about the AI Act's half-baked implementation model).

Finally, the answer above is a bit short and haphazard on how the diagnosed vulnerabilities could be improved. It isn't fully clear what is meant with the recommendation to implement "salami tactics", not at least given the fact that (as we discussed in Lecture 18) the AI Act indeed was planned to be rolled out incrementally.

I gave originality points for answers spotting the distinctive multi-level-governance problem at play here. It is hugely challenging to set up a failure-proof implementation governance – aligning the incentives of managers and doers – spanning from the EU Commission to local municipalities. Another asset would have been to point to the absence (or failure of) some decent forward/backward mapping as early as the policy adoption stage, in view of some well-known implementation complexities (there are plenty of examples in the case).

3. Assuming the implementation delays will take effect, discuss their potential impact on the social objectives of efficiency and fairness. (30p)

Student Answer

Assuming that the implementation of the AI Act will be delayed, there are three main potential effects on the welfare of the society and fairness in it that come to my mind. First is the threat of leaking sensitive data and creation of deepfakes with malicious intents such as blackmail, financial fraud, and others. The next logical step is the misuse of AI algorithms by corporations and even governments, which boils down to creating or at the very least strengthening discrimination in society against disadvantaged groups. Even if this is not the goal of a said algorithm, unattended (unregulated), it could produce advice or make decisions that will harm people. Lastly, when it comes to fairness, people who anticipated the delay and bet on the stock market in favor of the affected companies will effectively rob those who did not. It is important to clarify that by the "robbers" would be people who actively pushed for their desired outcome, and even more so politicians who would invest when it would become known that the bill will be passed yet before it would be publicly anounced. In other words, they would exploit a market failure called "information assymetry", and effectively get a higher reward with less risk by playing unfairly. Every investor on both sides of a trade is subject to risk, but politicians (especially in the US...) seem to "handle" this risk far better than us mortals.

As for efficiency, it can be argued that free markets would produce the most efficient, Pareto outcome. This is, however, not always true in reality, and if it were, not every Pareto efficient outcome is the most socially desirable outcome. If I understand correctly, the main goal of the course such as Public Policy is to convey the idea that markets should not (CANNOT) be "left alone" by any known standarts of ethics and morals. Those in favor of the delay argue that the regulation would do nothing besides stunting growth of the AI sector. I strongly object. I subscribe to the idea that the risks posed by unregulated AI are "unacceptable risks". And as benefits of such a delay are highly concentreted, but the costs are highly diffused, meaning that they

affect basically every citizen of the EU, I believe that such a delay is a great dissapointment.

	Score
Effort, engagement with policy case, originality (10p)	10
Def. efficiency objective (5p)	4
Def. fairness objective (5p)	4
Efficiency impact (5p)	5
Fairness impact (5p)	5

Comments

An excellent answer shows command of both the efficiency and fairness concepts, both of which were discussed abundantly in class. It then correctly uses these concepts as evaluative benchmarks for the scenario of a delayed implementation of the AI Act (*not* of the original AI act!). For efficiency, explanations with any (correct) trace of Pareto, UPF, or welfare were awarded points. The answer above doesn't spell this out fully, leading to a small point loss. For fairness, the most straightforward definition (and the one most deeply discussed in class) would focus on distributional effects (Rawls) and the efficiency-fairness trade off theorized by A. Okun. But – as in the answer of this student – I was fine with other definitions of fairness too, including relational ones based e.g. on non-discrimination. Minus one point here again for not making the employed fairness concept fully explicit.

Many pathways are open for evaluating the delays from these two normative perspectives. I was being as generous as possible when allocating scores, as long as the assessments were logically in line with the definitions provided on efficiency/ fairness.

On efficiency, one option would be to argue, with neoclassical economics, that (in the absence of market failure… but then the answer mentions information asymmetry…) any reduction, if only temporary, of state interference will yield Pareto improvements, enabling AI-driven markets to maximize their capacity for jointly satisfying consumer and producer preferences. To the extent that we are willing to assume (rather reasonably) that AI has great transformative potential for European economies, the neoclassical argument could be complemented with a case that pausing regulation is to be welcomed as a way to address the "sunk cost" fallacy of preserving a well-intended, but ultimately inefficient, regulatory practice.

On fairness, delaying AI regulation can be said (as argued here) to increase the risk that certain population groups (kids? the poor? the elderly? minorities?) in Europe will suffer AI-related harm. In the absence of enough certainty about the potential for harm, one could argue – with the civil society stakeholders quoted in the article – that pausing regulation might be a costly gamble with basic rights the EU cherishes, including the rights that are meant to protect the interests of vulnerable/ poorer/ less digitally literate… Europeans.

4. Explain what the precautionary approach requires in the context of regulating AI technologies. Then discuss whether the developments reported in the article suggest that the EU is moving away from the precautionary approach. (30p)

Student Answer

There are a few versions of the "precautionary" approach in policymaking that are aimed to help policymakers assess the costs and benefits of a policy in various reality scenarious (in the best case, and also the worst case situations). The regulation of AI technologies could be perceived through both the Minimax regret and Maximin approaches. As they are fundamentally similar, here I will consider how the EU's approach to AI regulation appears in contrast to the Maximin approach.

It stipulates that the worst possible outcome should be maximized before proceeding with a policy. In this situation it can be seen, as various scenarious, where - 1. AI is hugely detrimental both to current and future generations; 2. There are some risks involved that affect the current society until the delay is over; 3. The risks are low compared to the huge economic benefits of competitive AI in the EU. Under this apporach, any proliferation of AI is likely to impose the most costs in the first scenario, thus it can be thought of as the scenario that is likely worst possible situation for the society and the regulators should try to maximize it under the precautionary approach. This delay of regulation is likely a move away from such optimum, as delaying the regulation largely ignores any potential risk both now in the future (in the form of difficulty to enact such policies once a precedent of delays and the European Commission being maliable is already set). Instead, the delay of the AI Act tries to maximize the small chance of EU being competitive in the sphere (unlikely both with and without regulation) that would leave to economic benefits while risking catastrophal risk that unregulated AI might possess to various stakeholders both now and in the future.

Hence, yes, even while there likely is some merit for some delay due to, for example, unfinished technical standards of the AI Act, by delaying the AI Act in favour of economic competitiveness, at the detriment of a potential catastrophe, this can be seen as a move away from the precautionary approach.

	Score
Effort, engagement with policy case, originality (10p)	10
Risk vs. radical uncertainty (5p)	5
Def. precautionary approach (5p)	5
What does the precautionary approach require in the domain of AI? (5p)	5
EU moving away from precautionary approach? (5p)	5

Comments

The answer above is outstanding because it shows decent mastery of the precautionary approach as a policy decision-making framework under uncertainty. Most importantly, the answer recognizes the need to “practically” operationalize the

PA using decision-making heuristics such as Maximin. Answers of the kind: "yes, by pausing implementation the EU bids farewell to the precautionary approach" aren't sufficient here since, as we know, acting "precautiously" isn't a free-standing action rule in public policy. This approach becomes meaningful only if we know the decision-maker's projected outcome scenarios, the subjective probabilities s/he attaches to them, as well as his/her likings/dislike of uncertainty. The student answer assumes Maximin, hence a decision-maker with a strong uncertainty aversity, focusing on worst-case outcomes more than to average expected benefits. Maximin is a good choice here, as this approach is often considered if we can't discard the likelihood of "black swan events" or socially unacceptable outcomes (e.g. threats to human life, social stability, or human dignity) of some policy action. Scenarios that are being tracked not just by the EU, but also, prominently, by industry representatives from Sam Altmann to Geoffrey Hinton to Bill Gates.

Originality points for students who have spotted the link between a Maximin-typed precautionary approach and the risk-tiered structure of the original AI Act (discussed in class), banning AI systems performing things like social scoring or biometric (e.g. race-based) categorizations.

To get the full score, I needed to see a coherent evaluation of the policy direction initiated by EU's decision to pause the implementation of the AI Act. If you argued in the previous step that the PA in AI regulation requires Maximin, and/or that this was indeed the spirit of the AI Act, then the EU's decision to disrupt implementation indicates a change in either its appetite for uncertainty or its subjective priors for AI-related outcomes, or both.

Part II: Short questions (max. 80 points, ~150 words per question)

(***Select and answer **five** out of the following questions. Inform your answers using relevant material from the lectures and from the required readings ***)

1) Using the Advocacy Coalition Framework, explain two distinct pathways through which policy change can occur. Illustrate each pathway with an example (real-world or hypothetical). Under which conditions is policy change least likely to occur? (16p)

Under the Advocacy Coalition Framework (ACF), policy change occurs at a specific policy subsystem. The causes for policy change can be both internal and external shocks that have also a varying impact on what kind of policy change can take place. Through internal shocks policy change can happen as a result of, for example, policy "learning" both within and between different coalitions. Within coalitions this learning happens often as a result of changing evidence on the issue at hand that can alter the opinion on certain policy instruments within a specific advocacy coalition (usually associated with minor changes), for example, hypothetically, if new evidence was slowly uncovered that subsidies are a better approach than tariffs in stimulating internal growth, previous advocates of tariffs might be willing to be happy with subsidies. Policy "learning" can also happen between coalitions through policy brokers, such as scientists that in the case of nuclear energy can help advocacy coalitions opposing it become in favour of it.

In the case of internal shocks, however, this mostly is minor policy change, meaning that the underlying policy core beliefs should remain the same. However, external shocks under the ACF can have a more drastic impact. For example, this can be illustrated using the Snowden files that through exposing the NSA's actions effectively significantly changed the structures of the existing advocacy coalitions relating to GDPR.

However, there is a reason why policy change often appears to happen so rarely. This is due to the 'Devil Shift' where the deep beliefs of the dominant coalition that are further stregnthened through confirmation bias and the perception that the rivaling coalition is "evil" and "more powerful" make any kind of policy change (or even reasonable discussion) improbable.

16 points

2) Explain why moving from a Pareto-inefficient to a Pareto-efficient policy need not be an unambiguously good policy decision. Give a policy example that illustrates your point. (16p)

A Pareto efficient situation is one where no one can be made better off without anyone else being worse off. A Pareto improvement occurs when at least one person is made better off, while no one else is made worse off.
For example, a policy where the government budget is reallocated in a way that improves education without hurting healthcare (PI->PE) would be considred good by most people and fits the definition of Pareto Improvement. However, the Pareto-definitions are not concerned with fairness.
Scenario 1: Now, lets say we begin in a scenario where one person earns $1M p.a. and another one $0 p.a., and there is no way for the latter one to earn more except through getting subsides from the governemnt, which would be fueled by taxes paid by person A. Such a subsidy would be pareto inefficient - person A would loose, and person B would gain.
Scenario 2: However, the Pareto-definitions are not concerned with fairness. Assume that there is a person who has all the money, and a person starving. A tax cut would benefit person A, but do nothing for person B, yet this would be Pareto Efficient.

Many people would call the situation where the starving person is subsidized over the one where the millionaire receives a tax cut (Scenario 1>Scenario 2). Especially if due to subsidies the starving person can survive, go to work, and pay taxes. Assuming near-zero transaction costs, it would be hard to argue against such a policy even from a cynical perspective.

To conclude, Pareto efficiency ignores fairness and inequality (even highly unequal allocations can be PE), and does not consider potential gains from redistribution, total welfare is not the primary concern.

16 points

3) You are a policy analyst evaluating instruments to internalize pollution externalities in the steel market. Three feasible options are available: i) direct quantity regulation (uniform emission caps), ii) a Pigouvian corrective tax, or iii) quantity regulation with tradeable permits ("cap-and-trade"). Which option would you recommend, and why? (16p)

As a policy analyst evaluating instruments to internalize pollution externalities in the steel market, my goal would be to internalize the pollution cost while also maximizing social welfare, taking into consideration all the various effects of the policy.

A direct quantity regulation (government's use of authority, according to Hood & Margetts' policy typology) assumes that if there is a credible threat that non-compliance will be detected and sanctioned, the target population will change their behaviour. This option would succesfully internalize externalities, but it would not be efficient because it ignores the heterogeneity of firms. Big firms would have to produce at the quantities of small firms, and small firms, who are producing under the treshold, would not be affected at all.

A Pigouvian corrective tax (principle of treasure) equal to the negative externality assumes that individuals and firms are rational agents and maximize their utilities subject to financial constraints. This approach would be the second most efficient option, but when implementing this solution, the government needs to determine the exact value of the negative externality. This would be rather unrealistic in case of assessing polution.

Lastly, a quantity regulation with tradeable cap-and-trade permits (also principle of treasure) would be the best option. It allows bigger firms to acquire pollution permits from smaller firm and both benefit (bigger firm by producing more and smaller firm by gaining extra profits from unused permits). In this case, the government doesn't have to monetise the amount of pollution - it is already market determined.

16 Points

4) Explain under what circumstances cost-benefit analysis may not be an appropriate method for assessing the welfare impact of a government-mandated pandemic lockdown policy. (16p)

Cost-benefit analysis (CBA) is really a "workhorse" for modern policy analysis, but we need to be careful and consider 2 situations where CBA may have limited ability to give accurate view of the net effect of a said policy.

Firstly, we must recognise that CBA works amazingly when all impcats can be easily an accurately monatized, i.e. translated to monetary value - how much does the benefits bring in income, how large are costs. In situations where the costs or benefits are difficult to monetize or hold a huge amount of uncertainty when turned into monetary values the CBA tends to brake down. To paint a picture, in the pandemic lockdown context, while yes the lost GDP and human lifes gained can be

monetized and calculated there may be many ambiguous factors that are extremely difficult to predict, e.g. what is the cost of people becoming more lonely, could the 2 years in lockdown and the social skills lost potentially constitute to a demographic crises in western countries, under what assumtions we operate, how do we calculate the workforce impact if we estimate higher social anxiety when returning to the workplace, all of these are hard questions to quantify money wise that's why CBA may start to brake down, when analyzing lockdown policy choices.

Secondly, we must always remember that CBA only cares about the total societal gain, that's why CBA analysis must always be followed by analysis of social fairness, and a analyis of weather the WTP and WTA of the rich part of society does not dominate the needs of the relatively poorer part of the society, for example, it may be that while a policy favoring very strict lockdowns may lead to huge net present benefits, those benefits may not be fairly distruibuted, it may be that 80% of those benefits go to white collar workers while the blue collar workers are left with a negative net benefit due to the implemented policy.

16 points

5) One year ago, a small town in Sweden introduced several road-safety nudges (including electronic speed signs with emojis, roadside flower pots, and road markings that create a visual illusion of increasing speed). A randomized control trial (RCT) conducted in Sweden found that these nudges significantly reduced traffic-related injuries. A small town in Latvia is now considering adopting the same measures and is looking at the evidence from the Swedish RCT. How much confidence should the Latvian town's policymakers place in this evidence when deciding whether to implement similar road-safety nudges? (16p)

Nudges are information based instrument. It aims to influence behaviour of individuals by shaping background "choice architecture " withouth limmiting freedom of choice. Althougth experiments and RCT are considered gold standard of policy evaluation, they also have their limitations. It is difficult to get externaly valid results, meaning altougth they show that nudges work great in Sweden it is problematic to generalize these results to Latvia, since there is different culture, background, people in Latvia than Sweden. In case of nudges differences in people behaviour and thinking could lead to very different effects. As well one could argue also about internal validity of these results because there could be other factors influencing bahaviour alongside nudges that create the results - it difficult to issolate nudge impact. Therefore, althougth road safety nudges worked in Sweden does not mean that in Latvia they should implement similar nudges.

16 points

6) Consider a river system used by both upstream and downstream farmers for their economic activities. We know that the social optimum would involve sharing the water. However, upstream farmers have incentives to extract as much water as they need, leaving too little for those downstream. Explain the economic problem

at play here. Then explain the conditions under which the farmers could coordinate to achieve a more efficient allocation of water. (16p)

In this case river system is open access good. It is non excludable - meaning it is imposible to prevent some farmers from using it and it is rivalrous - one farmer using it do reduce others farmers consumtion. In this case farmers are faced by "Tragedy of commons" - upstream farmers extract as much water they need/can without caring about the downstream farmers. Althougth the best response would be for both to consume optimal amount, that is not happening because for each of the farmers dominant strategy is to overconsume, that leads to Pareto inefficiency and also likely depletion of the good.

Collective self governance - can be used to achieve more efficient allocation of water. For it to be sucssesful farmers have to know each other, and get feedback about their actions and communicate with each other. Ostrom came up with guideliness for successful self governance. First there have to be clear boundaries about which farmers have access to river. Second, the rules governing have to come from the farmers and allign with local needs. As well there is need for voting and monitoring if rules followed and sanctions if one breaks the rules. As well government have to respect the rigths that farmers are self governing and if it large scale proble- long river multi level governance.

16 points

Part III: Multiple-choice questions (max. 30 points)

1) What conclusion can be drawn from the Baltic banking crisis of the first decade of the present century? (3p)
    a. The legal systems of the Baltic countries are robust.
    b. Swedbank and SEB have in effect become ”lenders of last resort” in the Baltics.
    c. The Baltic countries’ membership in the Eurozone is a strong protection against bank failures.
    d. The Baltic Governments are in a sufficiently strong financial position to manage future banking crises on their own.

2) Which is a true implication of Arrow’s theorem? (3p)
    a. Under no circumstances is there a preference ordering which we could sensibly call the “public interest.”
    b. Suppose we use pairwise majority rule as our social choice procedure. For any society made up of individuals with preferences over some set of alternatives, pairwise majority rule violates at least one of transitivity, unanimity, or IIA.
    c. Dictatorship is the only stable and rational form of social decision-making.
    d. No social choice procedure that satisfies transitivity, unanimity, or IIA can also satisfy non-dictatorship when there are three or more alternatives to choose from.

3) Which is a true implication of Coase's theorem? (3p)
    a. As an approach to the internalization of negative production externalities, Coasean bargaining is always superior to tax- and quantity-based instruments.
    b. If transaction costs are sufficiently low, private bargaining will lead to an efficient allocation of resources regardless of how property rights are distributed.
    c. Under no circumstances should governments intervene in externality problems when markets exist.
    d. Coasean bargaining has proven an effective method to resolve externality problems, such as noise or seat-reclining disputes, among passengers on airplanes.

4) Which is not true of the liberal welfare state type? (3p)
    a. It typically emphasizes means-tested benefits aimed at the most economically disadvantaged groups.
    b. Social assistance programs tend to have strict eligibility requirements to encourage autonomy and self-reliance.
    c. There is a strong focus on universal welfare benefits that minimize income inequality across the population.
    d. Market mechanisms play a central role in the provision of social services.

5) Which is not a typical feature of the consensus model of democracy? (3p)
    a. The executive-legislative relationship is characterized by relative balance and power-sharing.
    b. Bicameralism.
    c. High levels of electoral disproportionality.
    d. Independent central banks.

6) Which political strategy is not an example of heresthetics? (3p)
    a. Using emotional speeches to convince voters to change their policy preferences.
    b. Members of Parliament voting counter-preferentially during a legislative amendment process to prevent their least-favorite amendment from winning.
    c. Voters in a ranked-choice voting system casting a ballot for a second-choice candidate to prevent their least-favorite candidate from winning.
    d. Introducing a new "wedge issue" to split the opposition's political coalition without changing their views on existing issues.

7) What is the primary purpose of John Rawls' "veil of ignorance" thought experiment? (3p)
    a. To allow rational agents to calculate the distribution of goods that yields the highest aggregate utility for society.
    b. To ensure that the principles of justice chosen are fair by preventing participants from knowing their specific place in society, wealth, natural talents, or moral views.
    c. To identify which individuals possess the greatest inherent work ethic, ensuring that resources are distributed according to individual merit.

d. To simulate a state of nature in which self-interested individuals are forced to compete for survival, demonstrating that a sovereign power is necessary to prevent social chaos.

8) Which of the following scenarios is the most accurate example of pork-barrel politics? (3p)
   a. A Member of Parliament successfully lobbies the Transport Minister to add a high-speed rail stop in their rural constituency, even though it adds 15 minutes to the journey for all other passengers.
   b. The Green Party agrees to vote for the Center-Right party's defense budget in exchange for the Center-Right supporting a new carbon tax.
   c. An Member of Parliament intervenes with the National Health Service to expedite a delayed surgery for a prominent family in their home district.
   d. The European Union allocates funds to upgrade the energy interconnectors between Lithuania and Poland to improve the stability of the entire European grid.

9) The concept of policy transfer describes: (3p)
   a. The patterns how political forms of knowledge develop within a political system.
   b. The incremental diffusion ("creep") of policies without any deliberate decision-making by policymakers.
   c. The direct imposition of policies by international organizations on national governments.
   d. The process by which governments borrow and adapt policies from other countries.

10) Which of the following scenarios most accurately exemplifies a "regulatory disaster"? (3p)
   a. A rogue trader causes a massive loss for their bank by deliberately bypassing a perfectly functioning compliance system that had successfully caught every other fraud attempt in the last decade.
   b. A senior banking regulator is filmed accepting a bribe from a CEO, leading to the regulator's resignation, but no significant harm has been caused to the public.
   c. A government implements a carbon tax that is widely hated, causes mass riots, and fails to raise the expected revenue.
   d. A mine explosion occurs because a systemic lack of trust between regulators and the the extractive industry prevented inspectors from identifying risk potentials.